WELCOME

Ten principles of Economics

Economics

- Greek word “Oikonomos”
- What is economics-Scarcity Problem
- Father of Economics-Adam Smith
- How people make decision-
- Preference/Choice making.

10 principles of Economics

Principle 1: People face Trade-offs.

Principle 2: The cost of something is what you give up to get it.

Principle 3: Rational people think at the margin.

Principle 4: People respond to incentives.

Principle 5: Trade can make everyone better-off.

Principle 6: Markets are usually a good way to organize economic activity.

Principle 7: Governments can sometimes improve market outcomes.

Principle 8: A country’s standard of living depends on it’s ability to produce goods & services.

Principle 9: Prices rise when Government prints too much money.

Principle 10:Society faces a Short-Run trade-off between Inflation and Unemployment.

Principle 1: People face Trade-offs.

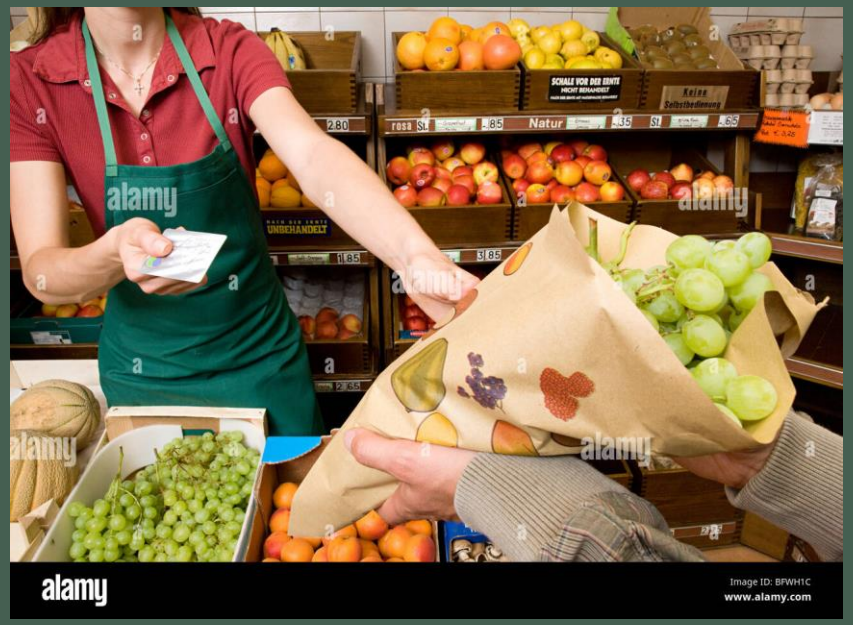
- People
- Trade offs
- Why do people face Trade Offs?

Principle 2: The cost of something is what you give up to get it.

- Opportunity cost
- Give up

EXAMPLE

- If someone wants to get something he have to give up something.
- To buy any product we have to pay money.

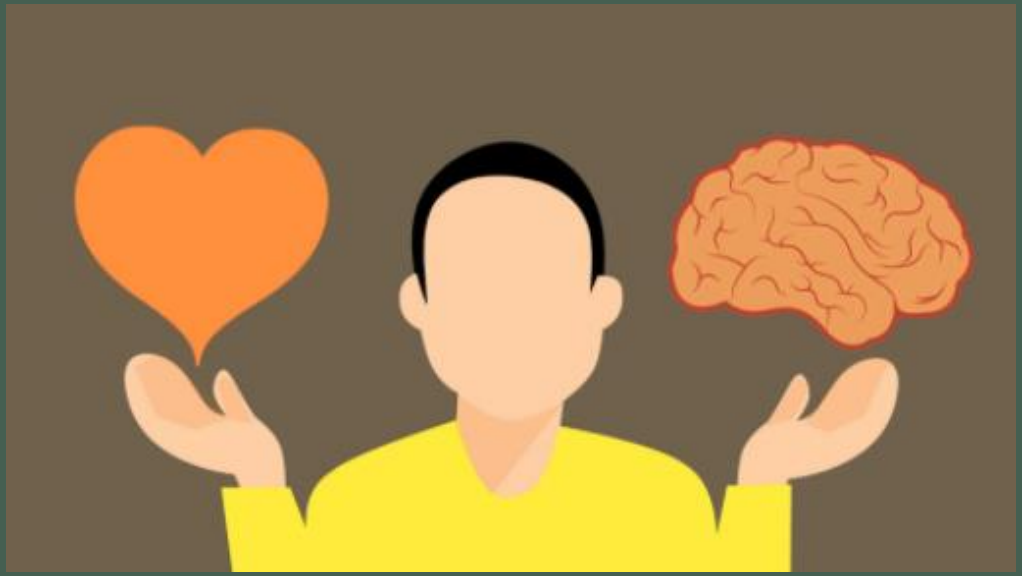


Principle 3: Rational people think at the margin.

- Rational People
- Marginal Analysis

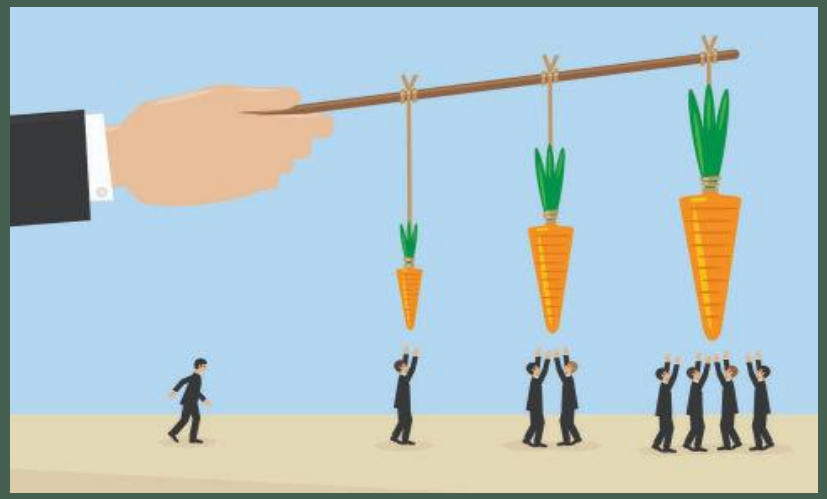
LIFE EXAMPLE

- Logical Decision
- Suppose someone wants to buy something that time he have to think at the margin
    - 5 unit labor can work- 20 unit
    - 6 unit labor can work- 24 unit
    - MP= 4 unit



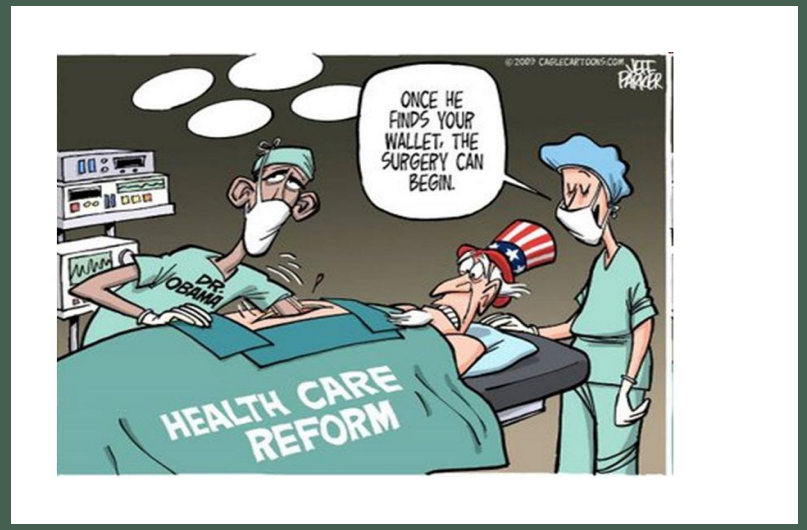
Principle 4: People respond to incentives.

- Incentives: Something that induces a person to act.
- It may punishment or reward.
- Incentives plays a central roles in study of economics.



EXAMPLE

- If anyone do more work they will get more salary.
- When cigarette taxes increase,
- teen smoking fall.

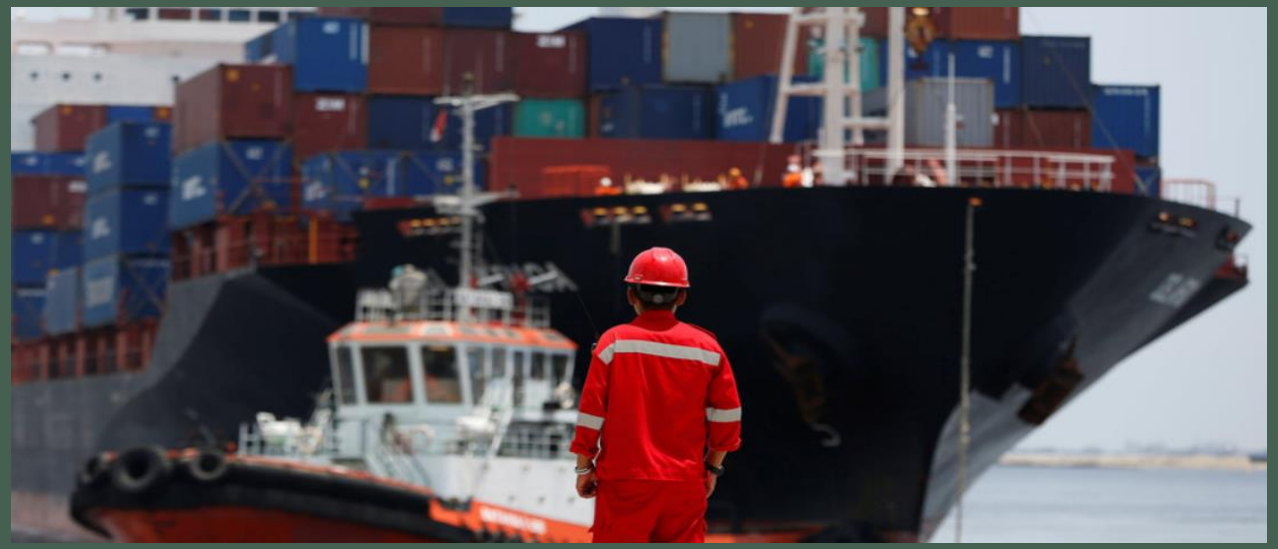


Principle 5: Trade can make everyone better-off.

- Trade
- Better off

EXAMPLE

- By trading with with others people can buy and sell a greater variety of goods or services which increase economic growth.



Principle 6: Markets are usually a good way to organize economic activity.

- Market
- Economic activity
  - Trade
  - Production
  - Demand Supply

LIFE EXAMPLE

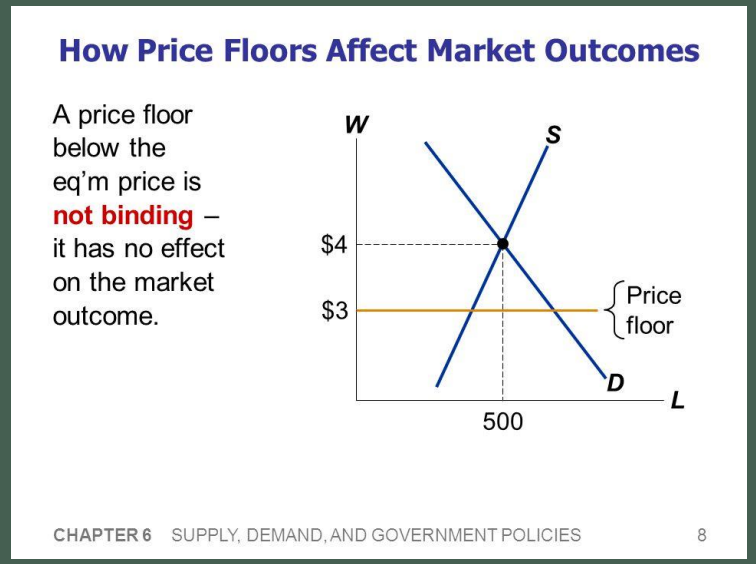
- The interaction of buyers and sellers determines prices.
- Each Price reflects the good's value to buyers and the cost of producing the good.

Principle 7: Governments can sometimes improve market outcomes.

- ✓The role of government
- ✓Control the market Outcome

EXAMPLE

- Market situation is out of control
  - Ramadan Time
- Producer can not get the desire outcome
  - Paddy Producer



Principle 8: A country's standard of living depends on it's ability to produce goods & services.

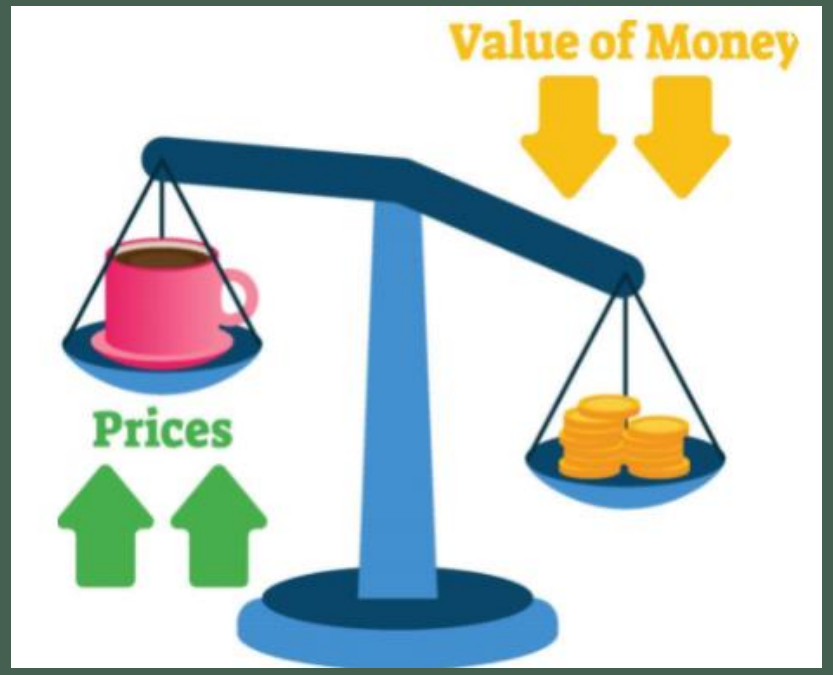
- Standard of living
- Goods and Services

EXAMPLE

- Tangible item
- Intangible Item
- GDP
  - Agriculture
  - Industry
  - Service

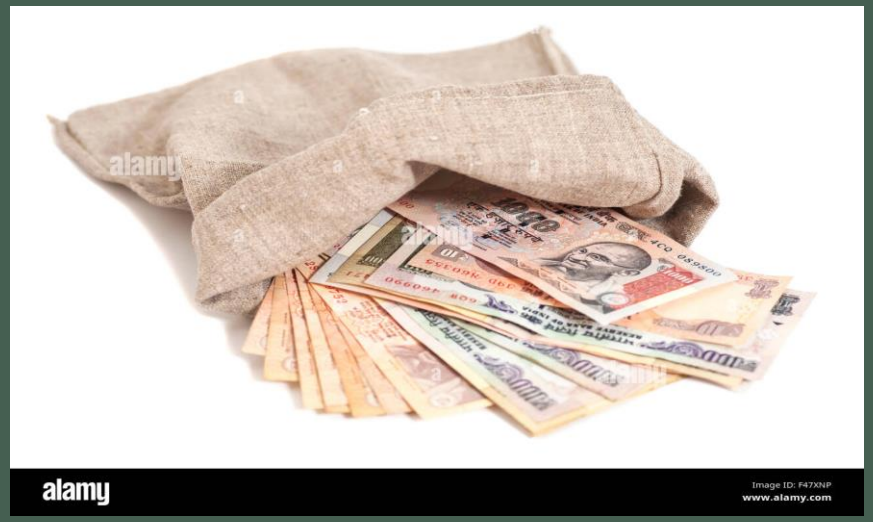
Principle 9: Prices rise when Government prints too much money.

- Inflation
  - Price level increase
  - Currency value falls



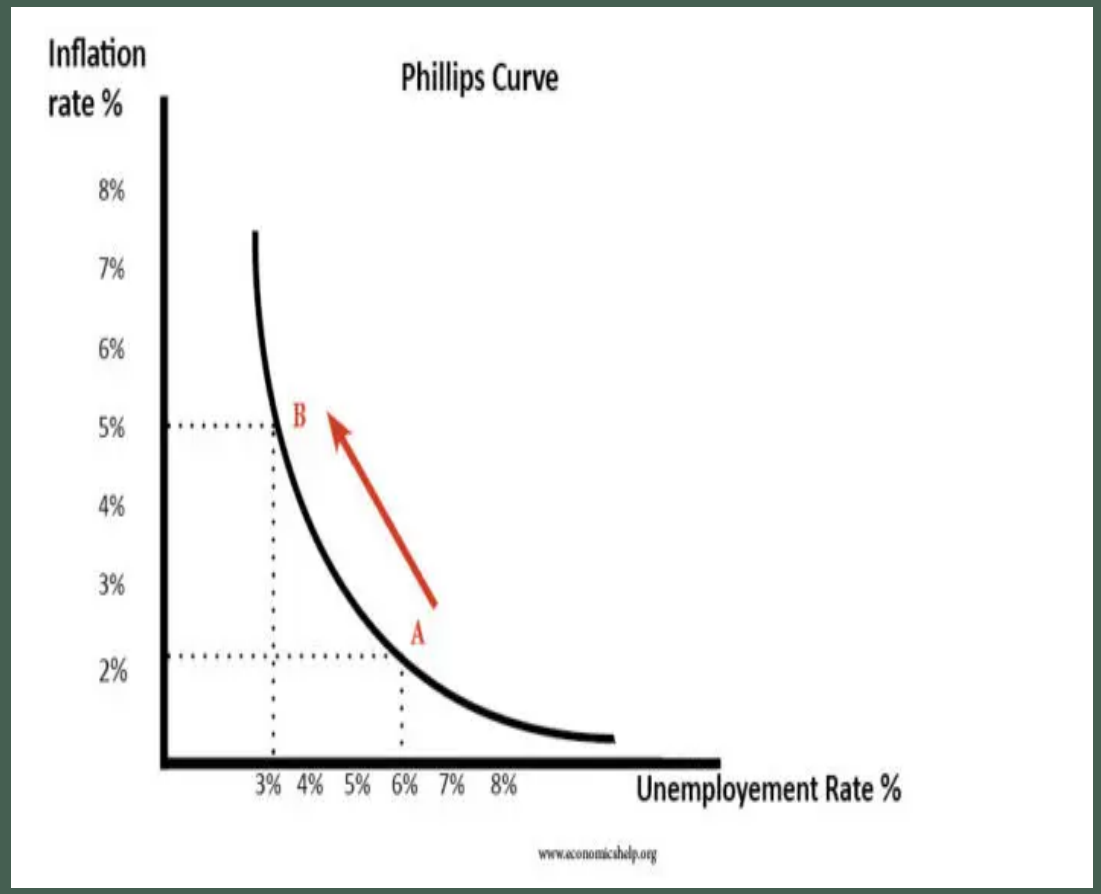
EXAMPLE

- Zimbabwe And Venezuela Inflation Crisis
- Prices varies



Principle 10:Society faces a Short-Run trade-off between Inflation and Unemployment

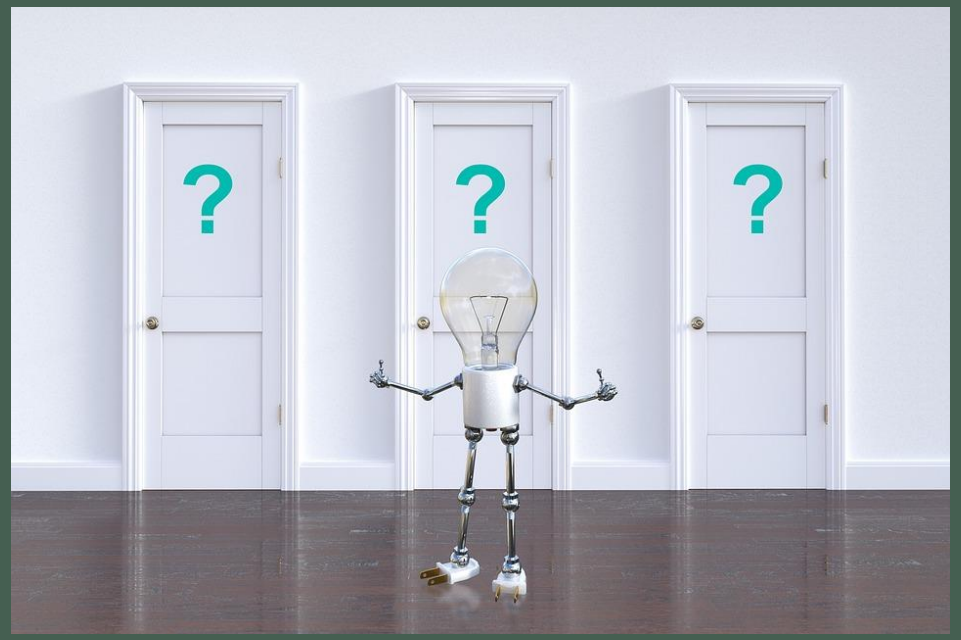
- Short-run Trade off
- Inflation and Unemployment



EXAMPLE

- When Government prints too much money that time inflation increase then unemployment decrease

Any Questions?



Thank You